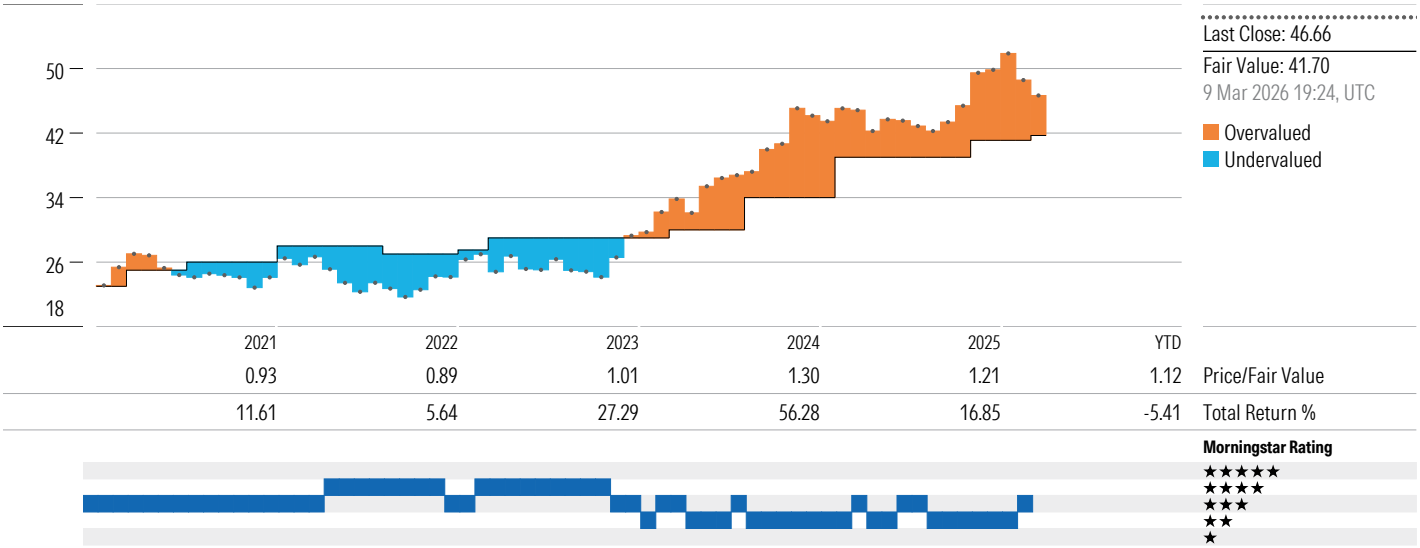
Manulife Financial Corp MFC ★★ 17 Mar 2026 21:52, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
46.66 CAD 16 Mar 2026	41.70 CAD 9 Mar 2026 19:24, UTC	1.12	79.33 CAD Bil 17 Mar 2026	None	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	0.93	0.89	1.01	1.30	1.21	1.12	Price/Fair Value
	11.61	5.64	27.29	56.28	16.85	-5.41	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 16 Mar 2026. Last Close as of 16 Mar 2026. Fair Value as of 9 Mar 2026 19:24, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Manulife Has Strong Momentum in Its Asia Business Segment

Business Strategy & Outlook Maoyuan Chen, Equity Analyst, 9 Mar 2026

Manulife is one of the Big Three Canadian life insurers, collectively representing about 80% of the nation's life insurance premiums. The firm's current strategy focus is to continue reducing its risk profile, grow its Asian life insurance business and wealth management faster than other businesses, achieving better expense efficiency, and invest in digital capabilities.

Manulife has made significant progress in reducing its overall risk profile over the past few years. Through reinsurance transactions, the firm has reduced its earnings exposure from low-return blocks of long-term care and variable annuity to 10% from 24% in 2017. From 2018-24, these transactions cumulatively freed up CAD 18 billion in capital, with the majority returned to shareholders via buybacks. We expect the firm to remain open to future opportunities for portfolio optimization.

Manulife is the third-largest pan-Asian life insurance operator, and the firm's target is to increase its earnings contribution from Asia life insurance and wealth management to 50% by 2027 from 41% in 2024. Around 72% of Manulife's 2025 new business value originated from Asia, making this segment a significant driver of its future earnings growth. We think the Asian market benefits from secular economic trends such as a growing middle class and relatively low insurance penetration. However, Manulife's Asian new business value margin has been weak in the past several quarters due to a higher

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Sector Financial Services

Industry Insurance - Life

Business Description

Manulife Financial is one of the Big Three Canadian life insurers. The firm provides life insurance, annuities, asset management, and wealth management products to individuals and group customers in Canada, the United States, and Asia. The Canadian business segment contributes approximately 21% of 2025 adjusted earnings. The Asia segment operates across 12 countries and contributes around 38% of earnings, with a significant presence in Hong Kong and Singapore. The US business, which primarily operates under the John Hancock brand, contributes about 16% of earnings. Manulife's global asset and wealth management business contributes approximately 25% of its earnings and had around CAD 1.1 trillion in assets under management and administration as of the end of 2025.

sales mix of low-ROE savings products. Management aspires to increase its sales mix of high-ROE health and protection products and grow its international high-net-worth business faster. Going forward, Manulife will continue to focus on its Asian and global investment management business. The firm's refreshed 2025 strategy also includes investments in Canada and the US, which we view as mature life insurance markets and offer modest growth potential.

Manulife's other medium-term targets include 10%-12% growth in its core EPS and core ROE of 18% by 2027. While the firm has improved its business mix in the past few years, we think the earnings growth and return targets are too lofty from a midcycle perspective.

Bulls Say Maoyuan Chen, Equity Analyst, 9 Mar 2026

- Manulife has a dominant market position in many segments in the Canadian market and generates decent returns.
- Manulife should achieve strong growth in Asia within the next few years, driving overall top-line growth and improving geographic diversification.
- Manulife has executed its plans to reduce exposure to riskier products like long-term care insurance and variable annuities, which should lead to the firm generating higher returns with lower risk in the future.

Bears Say Maoyuan Chen, Equity Analyst, 9 Mar 2026

- Manulife has a higher general account allocation to equity and other riskier alternative assets, which can be risky during an elongated economic slowdown or market downturn.
- Manulife could suffer from higher credit costs in the current private credit cycle, which could decrease the firm's profitability.
- The market for life insurance and income-based retirement products is competitive and commoditized and it is difficult for companies to find value-accretive growth.

Economic Moat Maoyuan Chen, Equity Analyst, 9 Mar 2026

The life insurance industry is highly competitive, with limited product differentiation and easy replication. As a result, we don't believe that Manulife has an economic moat, despite reasonably attractive historical and forecast returns on equity. While we think Manulife's wealth and asset management business segment is worthy of a narrow moat rating, it only represents a quarter of the company's earnings and thus is not large enough to affect our overall moat rating of the firm.

We expect the company to earn a midcycle ROE of around 16%. While our normalized ROE for Manulife is higher than our assigned 11% cost of equity, we do not think there is enough qualitative and quantitative substantiation to justify an economic moat for the firm's core life insurance operations (70% to 75% of earnings). We estimate its life insurance business is, at best, earning its 11% cost of equity. Manulife's historical return profile has also been volatile over the past decade, partially due to

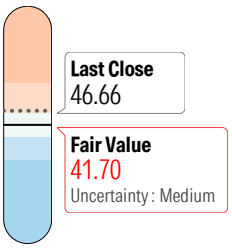
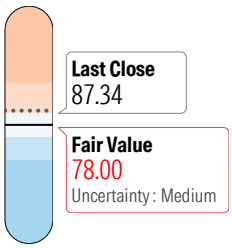
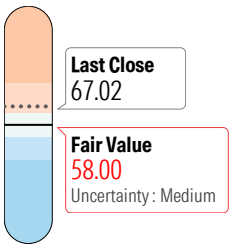
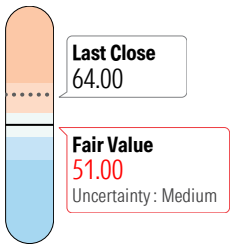
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Competitors

	Manulife Financial Corp MFC	Sun Life Financial Inc SLF	Power Corporat... Subord.Voting POW	Great-West Lifeco Inc GWO
				
Economic Moat	None	None	None	None
Currency	CAD	CAD	CAD	CAD
Fair Value	41.70 9 Mar 2026 19:24, UTC	78.00 6 Mar 2026 21:51, UTC	58.00 9 Mar 2026 02:26, UTC	51.00 6 Mar 2026 17:57, UTC
1-Star Price	56.30	105.30	78.30	68.85
5-Star Price	29.19	54.60	40.60	35.70
Assessment	Fairly Valued 16 Mar 2026	Overvalued 16 Mar 2026	Overvalued 16 Mar 2026	Overvalued 16 Mar 2026
Morningstar Rating	★★17 Mar 2026 21:52, UTC	★★17 Mar 2026 04:38, UTC	★★17 Mar 2026 04:42, UTC	★★17 Mar 2026 04:47, UTC
Analyst	Maoyuan Chen, Equity Analyst	Maoyuan Chen, Equity Analyst	Maoyuan Chen, Equity Analyst	Maoyuan Chen, Equity Analyst
Capital Allocation	Standard	Standard	Standard	Standard
Price/Fair Value	1.12	1.12	1.16	1.25
Price/Sales	1.50	1.29	1.17	1.52
Price/Book	1.77	2.02	3.00	2.15
Price/Earning	15.20	14.20	14.14	15.02
Dividend Yield	3.87%	4.12%	3.66%	3.91%
Market Cap	79.33 Bil	48.58 Bil	42.53 Bil	58.17 Bil
52-Week Range	36.93—52.97	74.56—94.76	47.05—74.91	49.54—68.56
Investment Style	Large Value	Large Value	Large Value	Large Value

its exposure to low-return and capital-intensive long-term care and variable annuity blocks. While the firm has made progress in the past several years toward reducing its risk profile and improving returns by reinsuring portions of aforementioned blocks, these blocks still represent around 10% of its earnings exposure (down from 24% in 2017) and pose risk of significant value destruction during a severe market downturn.

There are two major sources of profits for life insurers: underwriting profit, or earned premiums minus claims and operating costs, and investment income, or yield on the firm's investment portfolio. We view underwriting profit as the ultimate source of any economic moat for life insurers. While insurers can derive a higher investment return for a short time, this is often driven by higher risk-taking or good fortune, and we don't view investment income as a source of durable competitive advantage. Moreover, insurers are also exposed to investment risk, and investment losses can eat away at the underwriting profit margin easily. Most life insurance policies are long-duration and are backed by long-duration

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assets, making life insurers more exposed to the capital markets than property and casualty insurers.

We believe that there is little evidence of brand-driven intangible assets in the life insurance industry and that consumers are primarily making purchasing decisions based on price. We don't believe that scale advantages apply to life insurers, as a material portion of their operating cost base is variable commissions. Additionally, we believe it's hard for life insurers to carve out an underwriting advantage, as morbidity rates, mortality rates, and lapse rates are highly predictable. Concerning technology investments, we see some edge from better data analysis that might improve the industry's claims rate marginally, but we think most of the benefits will be competed away or passed on to consumers through lower pricing. Poorly structured life insurance policies (products with generous guarantees like minimum benefits or minimum payments) can expose life insurers to heavy losses in a severe market downturn. As we have seen in prior periods, poor underwriting can put pressure on a company for many years and even result in bankruptcy. Insurers do not know their cost of goods sold for many years, allowing them to underprice policies without knowing it. Managers at firms may also have an incentive to chase growth without regard for profitability, a cycle in which competitors are forced to match low prices or risk losing business.

Manulife is one of the Big Three Canadian life insurers (Manulife, Great-West, and Sun Life) that together capture over 80% of life insurance premiums in Canada, and the firm's Canadian segment contributed to around 21% of Manulife's 2025 adjusted earnings. Within Canada, Manulife derived around 77% of its earnings from insurance products (group and individual), 14% from annuities, and 9% from its bank subsidiary in 2025. Manulife is the second-largest group insurance provider and retail individual life insurance operator in the market. We think that it has a strong position in the Canadian group benefits business, which is relatively capital-light, and the life insurer can reprice its policy annually. The group benefits business also does not require a large salesforce of individual agents/advisors, as the channel instead requires developing relationships with corporate sponsors.

As for Manulife's US business, it's primarily conducted through the John Hancock brand. We view the US life insurance market as more fragmented than Canada and John Hancock ranks 16th (with 2% market share) in terms of life insurance direct written premiums based on the most recent NAIC data. The US segment contributed 16% of Manulife's earnings in 2025. John Hancock stopped selling its long-term care insurance products (which were low-return and capital-intensive) many years ago and has reinsured several blocks of LTC businesses and variable annuity business in the past several years. We think Manulife's US insurance return profile and risk profile should improve from these management actions going forward.

Finally, Asia is Manulife's largest life insurance business, contributing roughly 38% of earnings in 2025, and the firm puts a great emphasis on its Asia market presence. Manulife aspires to increase its total earnings from Asia (life insurance and wealth and asset management) to more than 50% of total

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company earnings. We believe the Asia market presents significant growth opportunities, driven by attractive demographics, including the expansion of the middle-class wealth and rising insurance penetration. However, we also believe that competition is intense in these markets and we don't believe that Manulife's Asia business boasts an economic moat. In its largest Asian market, Hong Kong, Manulife's market share is much smaller than AIA Group and Prudential. In short, we think life insurance competition is fierce and we don't view Manulife's life insurance business as moaty regardless of market.

Pivoting to asset management, Manulife's global wealth and asset management (GWAM) business contributed roughly 25% earnings in 2024, and we believe that this segment boasts a narrow economic moat based primarily on switching costs and, to a lesser extent, intangible assets. Corroborating this view, Manulife's GWAM segment generated positive net flows for 13 out of the past 15 years. Apart from managing Manulife's general account assets of around CAD 234 billion, GWAM managed around CAD 1.1 trillion in third-party assets across Canada, the US, and Asia at the end of 2025, with more than 70% of its AUM coming from its direct or affiliated distribution channels. Both wealth and asset management businesses can lend themselves to economic moats, contingent on relationship stickiness, depth and breadth of products, distribution channel concentration, and geographic mix. With a healthy retirement channel presence, reasonably strong geographic diversification (Manulife derived 25%, 14%, and 61% of AUMA from Canada, Asia, and the US, respectively), and captive distribution in Canada—attested to by market share capture by the largest Canadian banks and life insurers from pure play asset managers, we view a narrow-moat segment rating as appropriate.

Overall, we don't believe that Manulife has an economic moat, with most of its earnings coming from the highly competitive life insurance industry. While the firm's global wealth and asset management segment appears to benefit from switching costs and intangible assets, it is not large enough, in our view, to warrant a narrow moat rating for the overall company, particularly since the firm is funneling much of its incremental capital toward growing its Asia life insurance business.

Fair Value and Profit Drivers Maoyuan Chen, Equity Analyst, 9 Mar 2026

We are increasing our fair value estimate for Manulife to CAD 41.7 from CAD 41.1 per share after incorporating its latest results. The increase in our fair value estimate is primarily driven by the time value of money, and we also updated our near-term forecasts. Our fair value estimate is equivalent to 1.6 times book value as of December 2025 (or 1.1 times adjusted book value including contractual service margin). We use an 11.0% cost of equity for computing our fair value estimate.

We project Manulife's insurance revenue to grow at 4.9% CAGR over the next five years, driven by faster growth in its Asian markets and slower growth in its Canadian and US markets. We expect its bancassurance partnerships and the firm's Asian agents to drive Asia insurance revenue CAGR of

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around 8.5% in the next five years. For its domestic and US life insurance business, we expect around low- to mid-single-digit growth in our five-year forecast. We project the firm's total insurance service expense will be around 80.5%-81.5% of its total insurance revenue over the next five years, with some improvement in US claims cost from reinsuring its lower-return blocks of long-term care and variable annuity businesses in 2023 and 2024. For Manulife's global asset and wealth management business, we project its total AUMA to grow at 7.1% CAGR over the next five years and fee income to grow at 6.1% CAGR during the same period.

We forecast an investment yield of 4.06% on the company's portfolio in the terminal year of our forecast. We project that Manulife will have an equity/asset ratio (without separate account assets) of 9.32% in our terminal forecast, and the adjusted return to equity will be around 16% in the terminal year of our projection, reflecting our mid-cycle forecasts for the company. We think the management team's medium-term target of 18% ROE is too ambitious from a normalized earnings perspective.

Risk and Uncertainty Maoyuan Chen, Equity Analyst, 9 Mar 2026

We assign Manulife a Medium Morningstar Uncertainty Rating. Life insurers are generally highly leveraged and are subject to various risks from the capital market, interest rates, and policyholder behavior. Life insurance companies establish liabilities for future benefits that are payable under insurance policies based on various underlying actuarial assumptions like mortality, lapse rate, investment returns, and so on. Various retirement and income products sold by Manulife also expose the company to capital market and investment risks. An adverse market environment, unpredictable product performance, or unexpected insurance claims can potentially destroy several years of earnings or even put an insurer out of business. Manulife conducts its business in many different markets and is subject to economic, political, regulatory, and currency risks. Overall, Manulife has reduced its risk profile in the past few years, but the risks inherent to the industry should not be ignored.

Additionally, the complexity of the products and the limited disclosures make it very difficult to understand the inherent risk profile of life insurance companies in stressful market environments. A sharp movement in interest rates can drastically change the market value of its fixed-income portfolio and also lead to reinvestment risk. Manulife's relatively high asset allocation to non-fixed-income assets in its general account also exposes it to higher capital market risks. According to the company's sensitivity test in December 2025, Manulife's earnings sensitivity to a 20% decline in equity markets was negative CAD 890 million, and the potential impact on net income of a 50-basis-point increase in interest rates was negative CAD 100 million.

From an environmental, social, and governance perspective, we view the largest risks as stemming from business ethics and product governance issues. We believe that management has adequately managed ESG risks thus far.

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Capital Allocation Maoyuan Chen, Equity Analyst, 9 Mar 2026

We assign Manulife a Standard Capital Allocation Rating. In our opinion, the company's balance sheet is sound, its capital investment decisions are fair, and its capital return strategy is appropriate.

We believe that the company is in good financial health with an appropriate capital structure and adequate liquidity to weather difficult economic environments and access future investment opportunities. Additionally, the investment management business is a source of durable cash flows for the company. Manulife has an attractive business mix with its North American businesses operating in mature markets and its Asian businesses providing it an avenue for growth. We believe that Manulife's balance sheet strategy is appropriate for its business model. The company has a LICAT ratio of 136% as of the fourth quarter of 2025, well above the 100% supervisory target of the Canadian regulatory authority. It also maintains a decent liquidity buffer at the holding company level. Like its peers, Manulife has strong financial strength ratings of A or above for its various entities from the credit rating agencies (S&P, Moody's, Fitch, and A.M. Best). The company had an adjusted debt/capital ratio of 23.9% as of December 2025, which is below its medium-term target of 25% and we think it is manageable given the cash flows of the company. We think that Manulife's capital, liquidity, and debt levels are suitable given the risk profile of its business.

We view the firm's capital investment decisions as fair. The company raised capital through debt and equity issuance during the global financial crisis and cut its dividend in 2009 to conserve cash. In the wake of the 2008-09 financial crisis, a step-up in risk management was necessary. We believe the company has made significant strides in lowering its risk profile in the years that followed. Manulife's returns have trailed its peers. However, they have been trending in the right direction after the firm made progress in optimizing its business mix. We appreciate management's efforts in reducing its exposure to riskier products, such as long-term care insurance and variable annuities, and increasing its exposure to high-potential businesses, including Asia and wealth and asset management.

In May 2025, Philip Witherington succeeded Roy Gori, who had been CEO since October 2017. Witherington was previously Manulife's CFO and has a deep background with the firm's Asia business, previously serving as CEO and CFO of Manulife Asia. We expect Witherington to remain committed to delivering Manulife's medium-term targets outlined in its 2024 investor day. Manulife's current strategy focus includes its Asia life insurance and wealth management businesses, digital investing, expense control, and portfolio optimization to reduce its risk profile. The refreshed 2025 strategy also includes investments in Canada and US businesses. Amid Gori's tenure, Manulife Asia grew rapidly and established strong market positions in various Asian markets. Recent achievements under Gori's stewardship include freeing up around CAD 12 billion in capital from the reinsurance and subsequent liability reduction of its legacy long-term care and variable annuities businesses. Furthermore, Gori took efficiency initiatives in 2018 to aggressively curtail and manage expenses, achieving its $1 billion target of expense savings ahead of schedule. Moves like this will continue to free up cash, allowing

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Manulife Financial Corp MFC ★★ 17 Mar 2026 21:52, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
46.66 CAD 16 Mar 2026	41.70 CAD 9 Mar 2026 19:24, UTC	1.12	79.33 CAD Bil 17 Mar 2026	None	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

management to return capital to shareholders in the form of dividends and share buybacks.

We assess the company's capital return strategy as appropriate. Manulife targets approximately 15% of its earnings to be reinvested in organic growth, a dividend payout of 35% to 45%, and the remaining funds for capital accretion, share buybacks, and M&A. Overall, the company has returned approximately CAD 22.5 billion to shareholders in the last five years through dividends and share repurchases. The capital returned to shareholders during the previous five years amounts to approximately 67% of the company's core earnings, which we think is suitable given the growth and capital requirements of the company.

Analyst Notes Archive

Manulife Earnings: Continued Strong Growth in Asia Business Segment Maoyuan Chen,Equity Analyst,12 Feb 2026

Manulife reported adequate results for the fourth quarter as adjusted earnings per share came in at CAD 1.12 per share, up 9% from a year ago. The firm's full-year 2025 results translated into an adjusted return on equity of 16.5%, below its medium-term level of 18%-plus.Why it matters: The Asia segment continued to be a strong growth driver for the company, with adjusted earnings rising 24% from a year ago. The US segment, however, faced headwinds from lower investment spreads and unfavorable insurance experience. The global wealth and asset management business, which accounts for around a fourth of the firm's adjusted earnings, reported core earnings up 7% year over year. Net outflows were elevated at CAD 9.5 billion during the quarter, though, mostly driven by large case redemption. Canadian segment adjusted earnings were up by 6% from the prior-year quarter, mostly in line with our expectations. The bottom line: As we incorporate fourth-quarter results, we expect to increase our CAD 41.10 per share fair value estimate for no-moat-rated Manulife by midsingle digits. We expect the shares to remain overvalued after our contemplated update in valuation. Although the firm's Asian segment has seen double-digit adjusted earnings growth in the past several quarters, our normalized long-term earnings growth expectation for Asia is in a high-single-digit range. Between the lines: Manulife's 2025 remittances were CAD 6.4 billion, and we think the company is on track to meet or exceed its target of CAD 22 billion from 2024 to 2027. For 2025, the firm returned around CAD 5.4 billion to shareholders via dividends and share buybacks, equivalent to around 72% of core earnings. Along with its fourth-quarter earnings release, Manulife announced a 10% increase in its per-share dividend. We expect strong cash flow generation to continue to support dividends and share buybacks in 2026, with a total payout ratio for the firm of 65% to 75% of adjusted earnings.

Manulife Earnings: Continued Strong Growth From Asia in Investment Management Maoyuan Chen,Equity Analyst,13 Nov 2025

Manulife reported solid third-quarter earnings, with adjusted net income coming in at CAD 2.04 billion

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or CAD 1.16 per share, up 16% year over year. The results translate into an adjusted return on equity of 18.1%, which is in line with management's target of over 18%.Why it matters: The Asia segment continued the robust momentum so far this year, with strong adjusted earnings growth of 29% year on year. The firm also saw its investment management business grow 9% from the prior-year quarter. Asia and investment management now represent 66% of Manulife's adjusted earnings. Manulife targets more incremental capital allocation to these two businesses, which offer higher new business return on capital than its Canadian or US businesses. Total earnings contribution from the “highest potential business” (Asia, investment management, Canada group benefits, North American behavioral insurance) reached 76%, achieving its 2025 target of 75%. In Manulife's 2024 investor day presentation, the firm estimated that its 2023 new business lifetime return on capital for Asia is over 25%, which is higher than both the US and Canada segments' new business lifetime return on capital of 20%-plus. The bottom line: As we incorporate the latest earnings, we don't anticipate making a material change to our CAD 39 fair value estimate for no-moat-rated Manulife. We still view shares as overvalued, as we expect long-term earnings growth for Asia and Manulife's investment management business to normalize around the high-single-digit and mid-single-digit range, respectively. Key stats: Manulife's US segment earnings were affected by an unfavorable US life insurance claims experience, with adjusted earnings declining by 20% year over year. Canada segment earnings went up by 4%, in line with our expectations for a relatively mature market.Correction (Nov. 14, 2025): The adjusted earnings percentage in the first bullet point is corrected from 76%; total earnings contribution sentence added.

Manulife Earnings: Solid Growth in Asia and Investment Management, Acquiring Comvest Credit Partners Maoyuan Chen,Equity Analyst,7 Aug 2025

Manulife reported slightly disappointing numbers for the second quarter as adjusted earnings came in at CAD 1.73 billion or CAD 0.95 per share, up 2% from a year ago. The firm also announced its all-cash $1.28 billion acquisition of Comvest Credit Partners. Why it matters: Asia and the global wealth and asset management segment delivered strong growth in core earnings, increasing by 17% and 20% from a year ago. US segment adjusted earnings were negatively affected by higher claims from its life insurance business, lower investment spreads, and higher credit provisioning, down 53% year over year. GWAM business average assets under management and administration increased by 7% from a year ago to CAD 1.0 billion, with strong net inflows from retirement and institutional partially offsetting retail net outflows. US segment's credit provisioning was mostly related to the non-investment-grade securities, which drag on the total firm's earnings. Second-quarter's post-tax credit provisioning was CAD 82 million. The management team maintained its through-the-cycle quarterly guidance of CAD 30 million-CAD 50 million. The bottom line: As we incorporate second-quarter results and the Comvest acquisition, we will maintain our CAD 39 fair value estimate for Manulife. We assess shares as slightly overvalued. Key stats: Manulife's all-cash acquisition for 75% interest in Comvest Credit Partners includes $937.5 million upfront and additional consideration of $337.5 million, set to close in fourth-

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quarter 2025. Comvest had around $14.7 billion in AUM and specializes in middle-market direct lending. We think the deal is a bit expensive, as the management team implied it paid an EV/EBITDA multiple of midteens, but we note Comvest's AUM scale and private asset classes trail those of the large private asset managers like Ares and Blue Owl. The Comvest acquisition will expand Manulife's private credit AUM, following its 2024 acquisition of CQS--also a private credit manager.

Manulife: We Like the Firm's Portfolio Optimization Efforts, and We Expect Asia to Drive Its Growth

Maoyuan Chen,Equity Analyst,27 Jun 2025

We are transferring coverage of Manulife to a new analyst. Manulife is one of the Big Three Canadian life insurers and has operations in Canada, the US, and various Asian markets.The bottom line: We are maintaining our no-moat rating, Medium Uncertainty Rating, and Standard Capital Allocation for Manulife. We are updating our fair value estimate to CAD 39/USD 28.3/HKD 222 from CAD 39/USD 27.5/HKD 215. We view shares as fairly valued. Manulife has a leading market share in its domestic market across various life insurance products and retirement services. We also appreciate its global wealth and management business, which benefits from its geographic diversification and strong distribution capabilities. We like the management team's efforts in reducing its exposure to the lower-return blocks of long-term care and variable annuity over the past several years. That being said, we still don't think Manulife has a moat, as competition is intense in the life insurance industry. Key stats: Manulife has reduced its earnings exposure from the higher-risk long-term care and variable annuities to 10% in the first quarter of 2025, down from 24% in 2017. The firm had multiple reinsurance transactions on these capital-intensive blocks over the past six years, cumulatively freeing around CAD 12 billion of capital on its balance sheet and returning around CAD 9 billion to shareholders via buybacks.

Manulife Earnings: Growth Story in Asian Business in Full Swing; Maintaining Our CAD 39 Valuation

Suryansh Sharma,Director,8 May 2025

Manulife posted a strong set of numbers, with impressive growth in the Asian business. The firm reported core earnings of CAD 1.77 billion, or CAD 0.99 per share, in the first quarter, up 3% compared with the previous year. Adjusted return on equity was 15.6% during the quarter. Why it matters: The firm's Asia segment is performing extremely well with strong growth but the overall profits during the quarters were affected by relative weakness in the US business. The firm's annualized premium, or APE, sales grew by 37% and new business value, or NBV, was up by 36% in the first quarter compared with the previous year. The impressive growth numbers were driven mostly by the Asia segment where APE and NBV grew by 50% and 43%, respectively. Manulife's profitability during the quarter was adversely impacted by higher provisions related to expected credit losses and a provision for the California wildfires. Core earnings in the US business declined by 25% due to lower spreads, higher ECL provisions, and the impact of actuarial review. The bottom line: We are maintaining our CAD 39 per share fair value estimate for no-moat-rated Manulife after incorporating the latest results. The firm is

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currently benefiting from a favorable external environment and shares are in the overvalued territory. Higher interest rates and buoyant capital markets have been a tailwind for the company in recent quarters, resulting in higher investment earnings and assets under management. A correction in capital markets or lower rates would be a net negative for the company. Long view: While all life insurance companies are benefiting from improved profitability, Manulife's long-term growth potential makes it more attractive. Key stats: AUMA in the wealth and asset management segment grew by 13% during the first quarter and was recorded at CAD 1.04 trillion. Core profitability in this segment was 24% higher on a year-over-year basis due to margin expansion and higher AUM.

Manulife Earnings: Shares Rise by 7% After Impressive Results; Fair Value Up to CAD 39 From CAD 34

Suryansh Sharma,Director,21 Feb 2025

Manulife posted an impressive set of numbers, surprising on the upside in both profitability and growth. They reported core earnings of CAD 1.90 billion or CAD 1.03 per share in the fourth quarter, up 9% compared with the previous year. Adjusted return on equity was 16.5% during the quarter. Why it matters: The firm's Asia, Canada, and asset management business segments are performing extremely well with some relative weakness in the US business. Assets under management and administration in the wealth and asset management segment grew by 21% during the fourth quarter compared with the previous year as it was recorded at CAD 1.02 trillion. Core profitability in this segment was 34% higher on a year-over-year basis due to margin expansion and higher AUM. Shares were trading 7% higher after results were announced as the market reacted favorably to a 10% dividend increase. The firm announced a quarterly dividend of $0.44 per share, representing a dividend yield of 3.9% ($1.76/$45.1) on the current stock price. The bottom line: We are increasing the fair value estimate for no-moat Manulife to CAD 39 per share from CAD 34 per share after incorporating the latest results. We continue to believe the firm is currently benefiting from a favorable external environment and that shares are overvalued. Higher interest rates and buoyant capital markets have been a tailwind for the company in recent quarters resulting in higher investment earnings and AUM. A correction in capital markets or lower rates would be a net negative for the company. Long view: While all life insurance companies are benefiting from improved profitability, Manulife's long-term growth potential makes it more attractive. Growth metrics were extremely strong during the quarter as annualized premiums grew by 42%, new business CSM grew by 32%, and new business value grew by 31% on a year-over-year basis. The Asia segment holds the key to the firm's growth and profitability outlook in the long run.

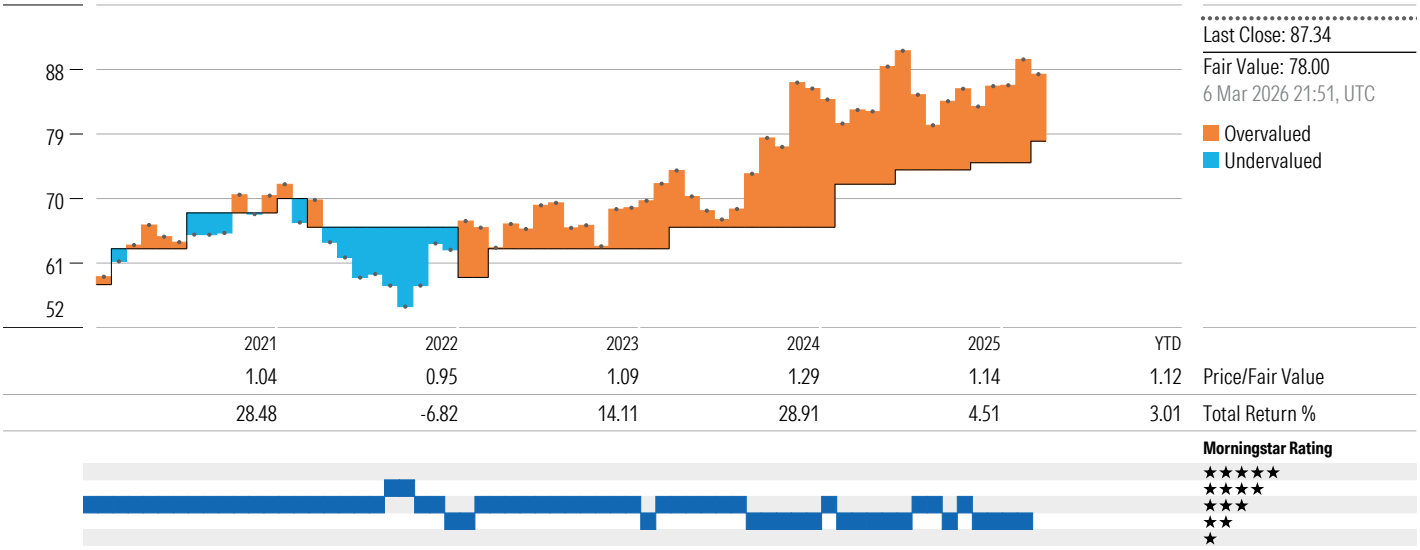
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Competitors Price vs. Fair Value

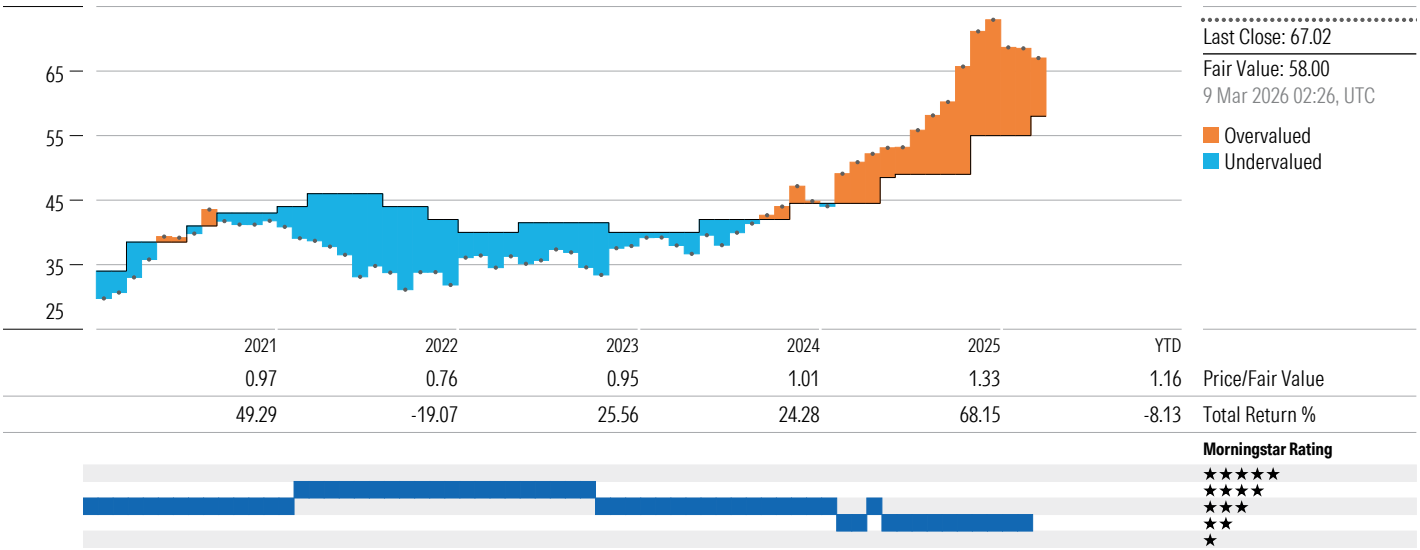
Sun Life Financial Inc SLF



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.04	0.95	1.09	1.29	1.14	1.12
Total Return %	28.48	-6.82	14.11	28.91	4.51	3.01

Total Return % as of 16 Mar 2026. Last Close as of 16 Mar 2026. Fair Value as of 6 Mar 2026 21:51, UTC.

Power Corporation of Canada Shs Subord.Voting POW



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.97	0.76	0.95	1.01	1.33	1.16
Total Return %	49.29	-19.07	25.56	24.28	68.15	-8.13

Total Return % as of 16 Mar 2026. Last Close as of 16 Mar 2026. Fair Value as of 9 Mar 2026 02:26, UTC.

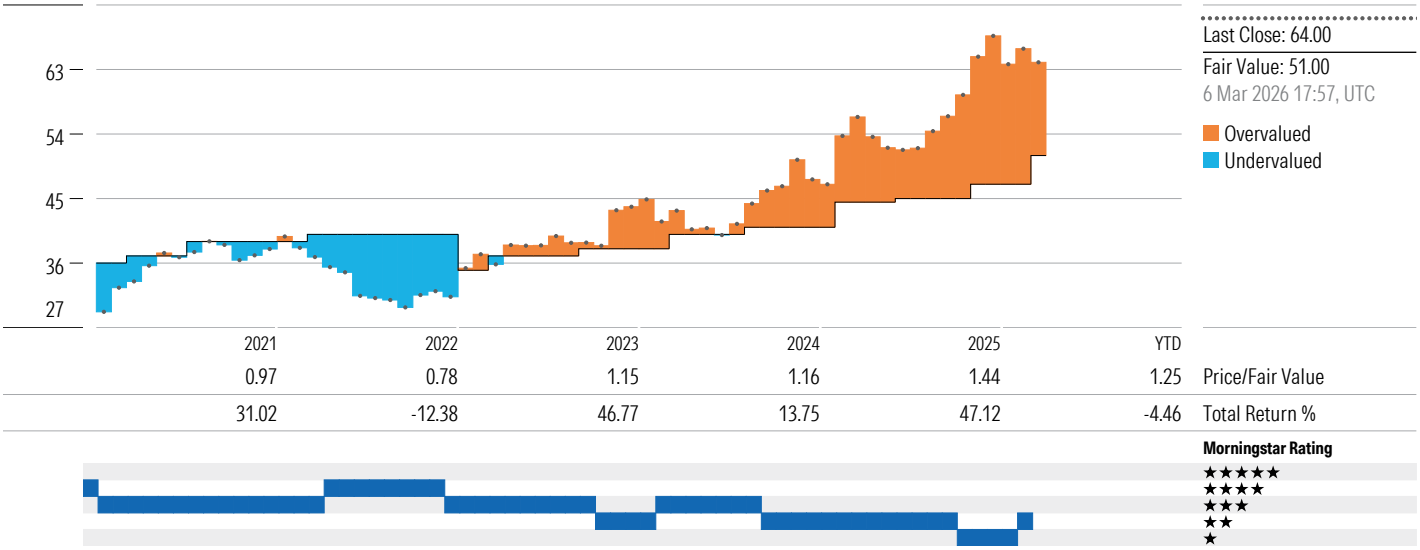
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Competitors Price vs. Fair Value

Great-West Lifeco Inc GWO



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.97	0.78	1.15	1.16	1.44	1.25
Total Return %	31.02	-12.38	46.77	13.75	47.12	-4.46

Total Return % as of 16 Mar 2026. Last Close as of 16 Mar 2026. Fair Value as of 6 Mar 2026 17:57, UTC.

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Morningstar Valuation Model Summary

Financials as of 09 Mar 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Net Earned Premiums (CAD Mil)	23,359	25,823	27,617	29,084	30,484	31,960	33,520	35,167
Net Investment Income (CAD Mil)	16,180	18,249	19,014	19,814	20,587	21,627	22,688	23,809
Total Revenue (CAD Mil)	49,423	53,870	61,035	57,544	60,232	63,357	66,579	69,986
Expenses (CAD Mil)	42,971	46,780	53,941	48,115	50,442	52,908	55,135	57,838
Net Income (CAD Mil)	4,800	5,074	5,251	6,875	7,151	7,654	8,413	8,950
Adjusted Net Income (CAD Mil)	4,800	5,074	5,251	6,875	7,151	7,654	8,413	8,950
Weighted Average Diluted Shares Outstanding (Mil)	1,838	1,785	1,708	1,695	1,664	1,638	1,592	1,542
Earnings Per Share (Diluted) (CAD)	2.61	2.84	3.07	4.06	4.30	4.67	5.29	5.81
Adjusted Earnings Per Share (Diluted) (CAD)	2.61	2.84	3.07	4.06	4.30	4.67	5.29	5.81
Dividends Per Share (CAD)	1.45	1.60	1.75	1.88	1.98	2.08	2.18	2.29

Margins & Returns as of 09 Mar 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Investment Yield %	4.5	4.3	4.6	4.6	4.6	4.5	4.5	4.5	4.5	4.5

Growth & Ratios as of 09 Mar 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Net Earned Premium Growth %	7.1	3.8	10.5	7.0	5.3	4.8	4.8	4.9	4.9	5.0
Net Investment Income Growth %	7.8	6.4	12.8	4.2	4.2	3.9	5.1	4.9	4.9	4.6
Total Revenue Growth %	28.6	63.4	9.0	13.3	-5.7	4.7	5.2	5.1	5.1	2.9
Net Income Growth %	-103.2	-318.9	5.7	3.5	30.9	4.0	7.0	9.9	6.4	11.7
Adjusted Net Income Growth %	-103.2	-318.9	5.7	3.5	30.9	4.0	7.0	9.9	6.4	11.6
Earnings Per Share Growth %	-103.6	-327.8	8.8	8.2	31.9	6.0	8.7	13.1	9.8	13.9
Adjusted Earnings Per Share Growth %	-103.6	-327.8	8.9	8.2	31.9	6.0	8.7	13.2	9.8	13.9

Valuation as of 09 Mar 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	11.2	15.5	16.2	11.7	11.0	10.1	8.9	8.1
Price/Book	—	—	—	—	—	—	—	—
Price/Tangible Book	—	—	—	—	—	—	—	—
Dividend Yield %	5.0	3.6	3.5	4.0	4.2	4.4	4.6	4.8
Dividend Payout %	55.6	56.1	56.8	46.4	46.0	44.4	41.2	39.4

Operating Performance / Profitability as of 09 Mar 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	1.0	1.0	1.0	1.2	1.2	1.2	1.3	1.3
ROE %	—	—	—	—	—	—	—	—
ROTE %	-4.8	11.9	12.0	12.0	15.3	14.9	15.1	15.8

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Equity/Assets %	8.1	8.2	7.7	7.9	8.0	8.1	8.1	8.1

Forecast Revisions as of	–		–		–	
Prior data as of	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	41.70	—	—	—	—	—
Net Earned Premium (CAD Mil)	29,084	27,399	30,484	28,706	31,960	30,079
Total Revenue (CAD Mil)	57,544	56,916	60,232	56,641	63,357	59,428
Net Income (CAD Mil)	6,875	5,158	7,151	6,557	7,654	7,842
Earnings Per Share (Diluted) (CAD)	4.06	2.93	4.30	3.72	4.67	4.58
Adjusted Earnings Per Share (Diluted) (CAD)	4.06	2.93	4.30	3.72	4.67	4.58
Dividends Per Share (Diluted) (CAD)	1.88	1.76	1.98	1.85	2.08	1.94

Key Valuation Drivers as of 09 Mar 2026

Cost of Equity %	11.0
Average Forward 5 Yr ROE %	—
Average Forward 5 Yr ROE, Excluding Goodwill %	—
Stage II Net Income Growth Rate %	12000000.0
Stage II Incremental ROE %	4500000.0
Perpetuity Year	10000000

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 09 Mar 2026

	CAD Mil
Present Value Stage I	18,625
Present Value Stage II	14,029
Present Value of the Perpetuity	37,662
Other Adjustments	0
Equity Value	**70,316**
Projected Diluted Shares	1,695
Fair Value per Share (CAD)	**41.70**

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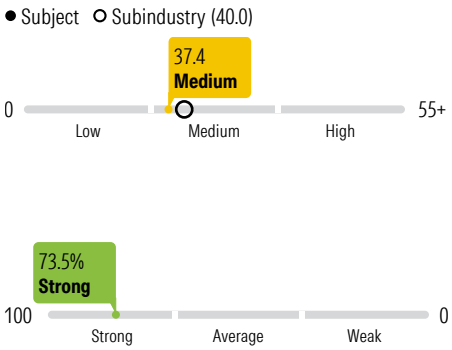
MORNINGSTAR®

Manulife Financial Corp MFC ★★ 17 Mar 2026 21:52, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
46.66 CAD 16 Mar 2026	41.70 CAD 9 Mar 2026 19:24, UTC	1.12	79.33 CAD Bil 17 Mar 2026	None	Large Value	Medium	Standard	 4 Mar 2026 06:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 73.5% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Mar 04, 2026. Highest Controversy Level is as of Mar 08, 2026. Sustainalytics Subindustry: Life and Health Insurance. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 04 Mar 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Manulife Financial Corp	37.4 | Medium	0	55+	73.5 | Strong	100	0	11.4 | Low	0	40+
Prudential Financial Inc	41.0 | Medium	0	55+	56.2 | Strong	100	0	19.3 | Low	0	40+
Sun Life Financial Inc	39.8 | Medium	0	55+	71.3 | Strong	100	0	12.9 | Low	0	40+
Great-West Lifeco Inc	40.5 | Medium	0	55+	46.1 | Average	100	0	22.8 | Medium	0	40+
Power Corporation of Canada	43.6 | Medium	0	55+	50.9 | Strong	100	0	22.6 | Medium	0	40+

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Appendix

Historical Morningstar Rating

Manulife Financial Corp MFC 17 Mar 2026 04:37, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★★	★★★	★★	★★	★★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★★	★★★	★★	★★	★★	★★★	★★★	★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

Sun Life Financial Inc SLF 17 Mar 2026 04:38, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★★	★★	★★★	★★★	★★	★★	★★	★★	★★	★★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

Power Corporation of Canada Shs Subord.Voting POW 17 Mar 2026 04:42, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★	★★	★★	★★★	★★	★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

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Great-West Lifeco Inc GWO 17 Mar 2026 04:47, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★	★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★	★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

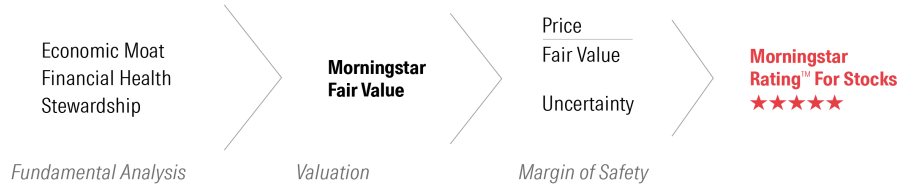
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

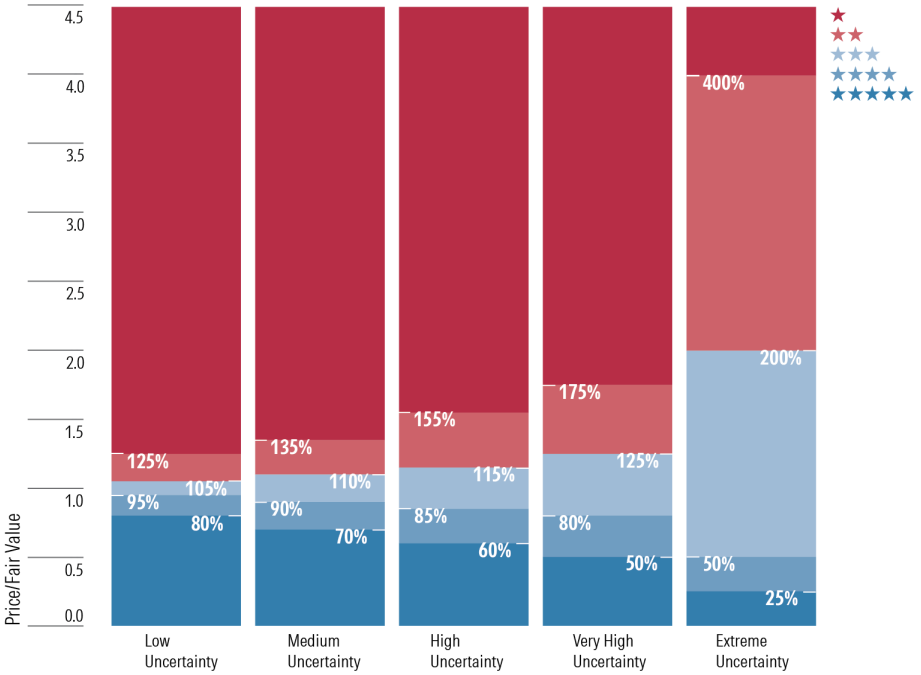
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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